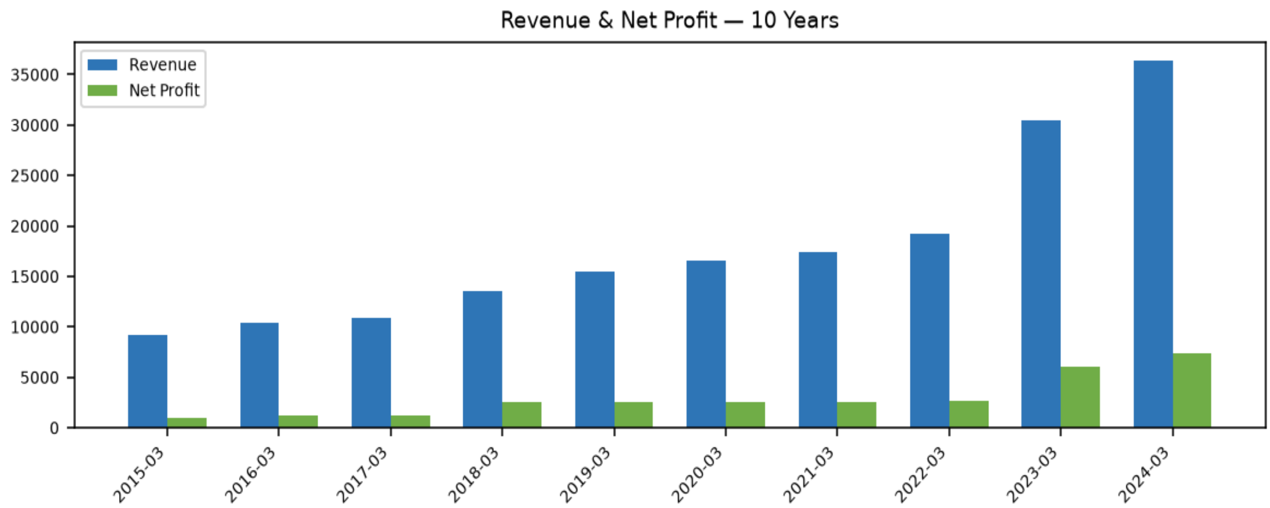
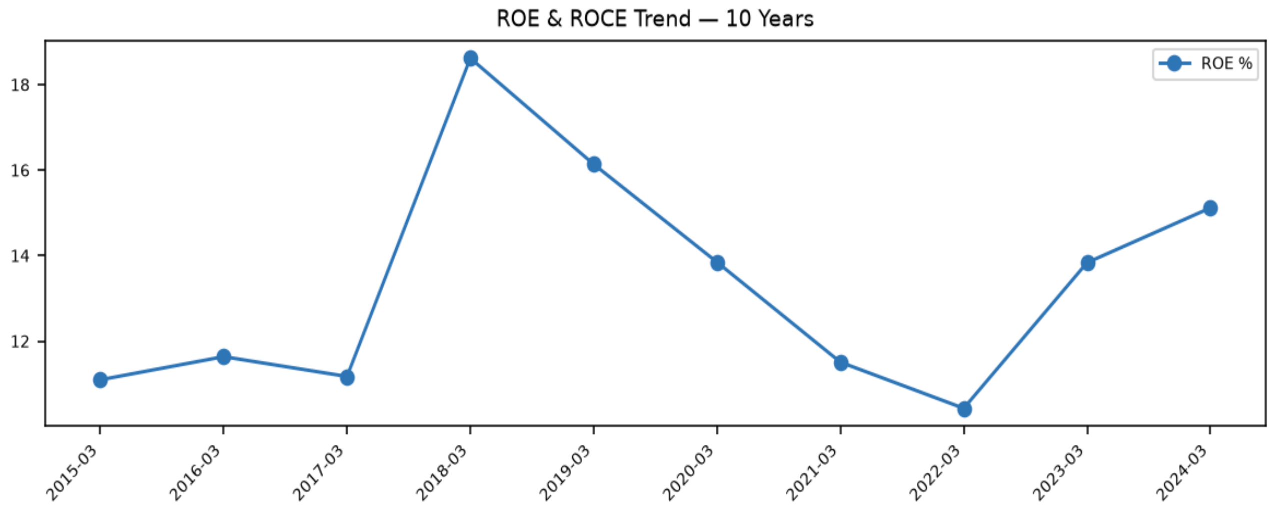
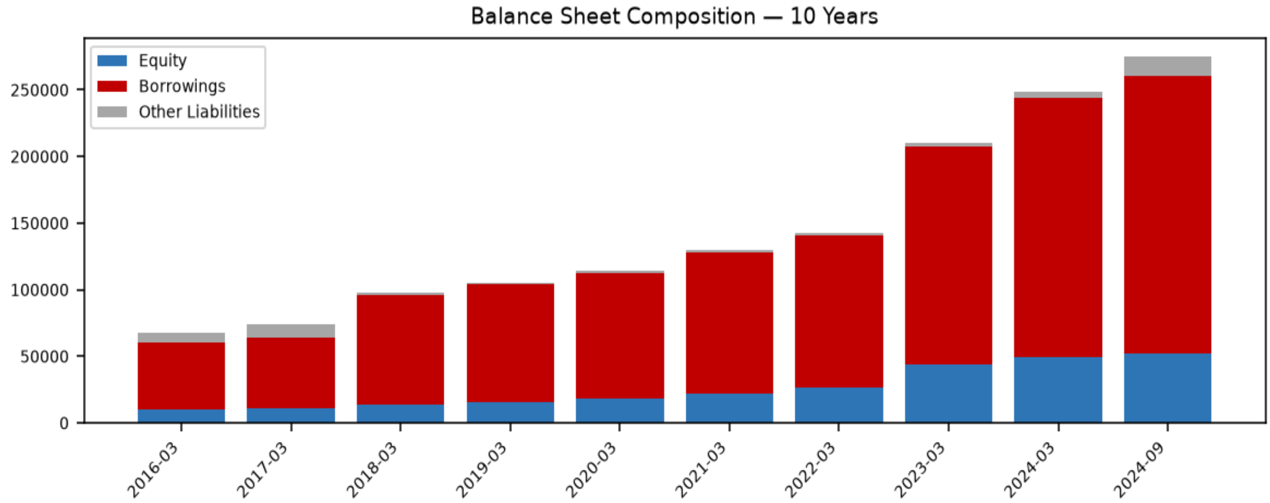
# Shriram Finance Ltd (SHRIRAMFIN)

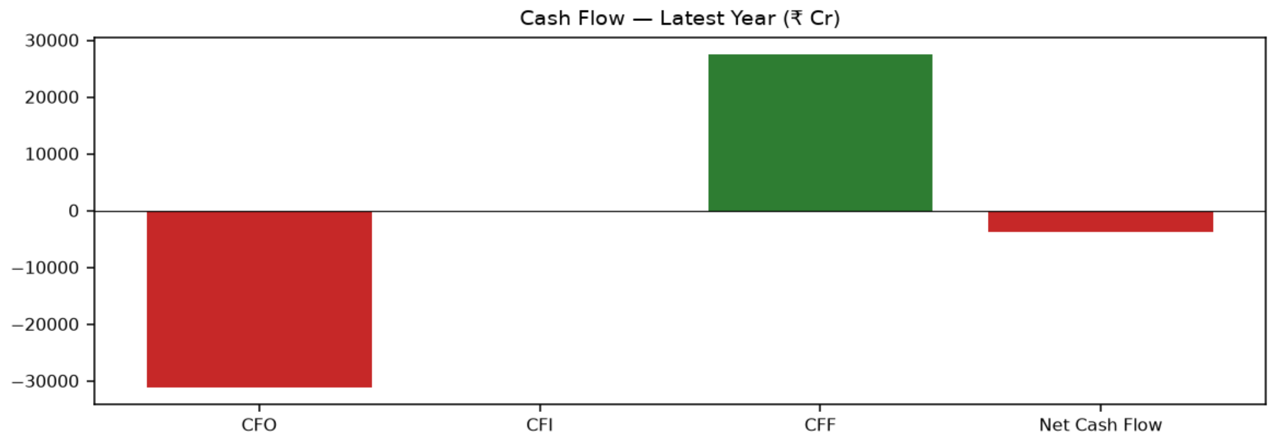
Sector: Financials

| ROE | ROCE | NPM |
|---|---|---|
| **15.12%** | **N/A** | **20.33%** |
| D/E | Revenue CAGR 5yr | FCF (■ Cr) |
| **3.99** | **18.56%** | **-31359.00** |






## *Pros*

✓ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
✓ Net profit compounding at above 20% over 5 years creates significant shareholder value
✓ Return on equity improving for 3 consecutive years shows strengthening business quality
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

## *Cons*

✗ Free cash flow negative for 3 consecutive years raises concern about cash generation quality
✗ Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations

**Capital Allocation: Growth Funded by Debt**